

**Time:** 5 minutes**Outcome:** Calculate multiplier effects and evaluate crowding out.**Difficulty:** ●●○ Intermediate

Fiscal Multipliers and Crowding Out



THE CORE IDEA

A spending or tax change can create a multiplied demand response, while higher interest rates can crowd out part of the expansion. Fiscal policy can shift AD right, the multiplier can push it farther, and crowding out can pull the final effect back. Crowding out offsets fiscal expansion by reducing private investment when interest rates rise. Crowding out reduces private investment when fiscal expansion raises interest rates.



HOW TO RECOGNIZE IT

- Initial fiscal shift, multiplier expansion, then crowding out offset.
- Crowding out offsets fiscal expansion by reducing private investment when interest rates rise.
- Crowding out reduces private investment when fiscal expansion raises interest rates.
- Crowding out occurs when higher interest rates reduce private investment spending.

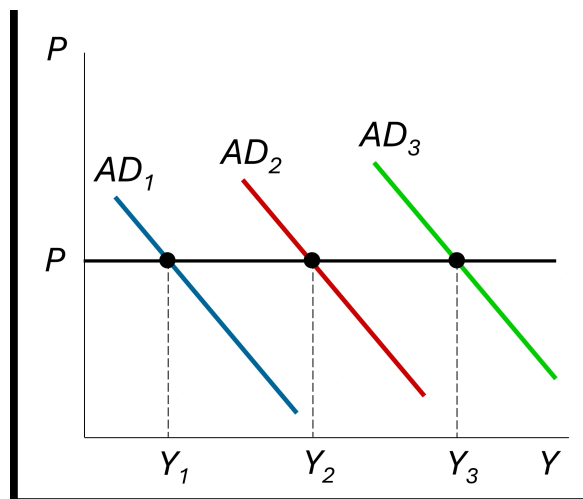


WATCH OUT

A common mistake is to report a gross multiplier effect without subtracting private spending displaced by higher interest rates. Crowding out makes the net demand increase smaller.



WORKED EXAMPLE: MULTIPLIER VERSUS CROWDING OUT



Suppose a fiscal expansion would move aggregate demand from AD_1 to AD_3 if no private spending were displaced. Higher interest rates crowd out some investment, so the final curve is only AD_2 . Output rises from Y_1 to Y_2 rather than Y_3 ; the distance from Y_2 to Y_3 is the crowding-out offset.



CHECK YOURSELF

Why might a tax cut have a smaller immediate effect than an equal increase in government purchases?

**READY?**

Return to the game and master this concept.